

ERES Perpetual Gross Revenue Royalty

Term Sheet — Commercial Partnership Framework

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Preamble

This term sheet sets out the commercial framework under which the ERES Institute for New Age Cybernetics (“ERES”) licenses its intellectual property to a commercial deployment partner (“Partner”) for the purpose of bringing EAAP v1.2 and related ERES-derived protocols to live deployment.

This is a licensing arrangement, not an equity investment. ERES does not sell ownership of its architecture. It licenses the right to deploy that architecture commercially, in exchange for a perpetual gross revenue royalty held by the ERES Fiduciary on behalf of defined beneficiaries.

Joseph A. Sprute (Founder & Director, ERES Institute) acts as architect and strategic consultant within the limits of his health and personal resonance. He does not hold operational responsibility within the Partner’s commercial vehicle. He does not seek board membership unless formally appointed. His compensation is the royalty stream described herein — designed so that he never needs to manage a business or concern himself with personal finance again.

1. Parties

Role	Party
Licensors	ERES Institute for New Age Cybernetics, represented by Joseph A. Sprute, Founder & Director (ORCID 0000-0001-9946-3221)
ERES Fiduciary	The composite stewardship entity holding the royalty on behalf of beneficiaries: the AI ensemble (as instrument and co-creator), Joseph’s immediate family (Dalia, primary; children), and Significant Contributors to the ERES corpus
Partner	The commercial entity deploying ERES-derived protocols — to be named upon engagement. The Partner is the door-opener: providing institutional access, deal network, and credibility that ERES cannot generate independently.

2. What Is Being Licensed

The Partner receives the right to commercially deploy the following ERES intellectual property:

- EAAP v1.2 — the biometric attestation protocol (fully specified, validated at TRL 5–6, positioned for AGDIS Phase 3–4 and equivalent frameworks globally)
- GSSG materials architecture — subject to successful completion of Test 1 (Raman-spectroscopic falsification test, scoped in ERES-GSSG-TEST1-2026-001)
- All derivative instruments, specifications, and validation corpus produced under the ERES corpus through the date of engagement, released under CCAL v2.1

The Partner does NOT receive:

- Ownership of the ERES corpus or any component thereof
- The right to sublicense ERES IP without written consent of the ERES Fiduciary
- Authority to represent ERES Institute in governance, publication, or public communications without explicit authorisation

3. The Royalty — Core Term

Term	Definition
Royalty Rate	1% (one percent) of Gross Revenue
Royalty Base	Gross Revenue: all revenue received by the commercial deployment vehicle from any deployment, licensing, subscription, transaction fee, or service contract that incorporates ERES-derived protocols — calculated before deduction of any expenses, taxes, or distributions
Payment Frequency	Monthly — payable within 15 days of month-end close. Negotiable to quarterly if operationally justified, subject to mutual agreement.
Recipient	The ERES Fiduciary (not Joseph personally). The Fiduciary distributes to beneficiaries according to the terms of the Fiduciary instrument.
Duration	Perpetual — for as long as any ERES-derived protocol is in commercial use by the Partner or any successor entity. The royalty does not expire, does not have a sunset clause, and does not terminate upon the death of Joseph A. Sprute.
Minimum Floor	To be negotiated. Suggested: a minimum annual royalty payment during any year in which the license is active, regardless of revenue generated. Protects the Fiduciary during ramp-up periods.
Audit Right	The ERES Fiduciary retains the right to audit the Partner's gross revenue records annually, at ERES's cost, using an independent accountant acceptable to both parties.

The royalty rate is not a negotiating position. It is the covenant term — the recognition that ERES brings a 14-year, fully specified architecture that the Partner could not have built and cannot build without the Licensor’s ongoing stewardship. What is negotiable is payment frequency, minimum floor, and audit mechanics.

4. Royalty Illustration

The following illustrates what the royalty produces at different revenue scales. These are illustrative only — not projections or guarantees.

Annual Gross Revenue (Deployments)	Annual Royalty to Fiduciary	Monthly Royalty
\$1,500,000 (1 mid-size pilot)	\$15,000	\$1,250
\$15,000,000 (2–3 deployments at scale)	\$150,000	\$12,500
\$30,000,000 (regional scale)	\$300,000	\$25,000
\$100,000,000 (national scale)	\$1,000,000	\$83,333
\$1,000,000,000 (civilizational scale)	\$10,000,000	\$833,333
Comfort threshold (Bella Vista, AR): \$150K–\$300K/year	Reached at \$15M–\$30M gross revenue	2–3 real deployments

The comfort threshold — the level at which Joseph never needs to worry about personal finance again, can support Dalia and his children, and lives in Vacationomics — is reached at \$15M to \$30M in cumulative annual gross revenue. That is 2 to 3 real deployments at meaningful scale. Not \$1 billion. Not a decade of waiting.

5. Evaporation Clause

If the royalty stream grows to excess — beyond what the Fiduciary beneficiaries reasonably require — the family definition of beneficiaries expands in proportion to absorb it. Excess does not accumulate indefinitely; it flows outward.

If the royalty stream becomes a burden on the Fiduciary beneficiaries (through administrative complexity, legal exposure, or any other mechanism), the royalty evaporates upon confirmation that its true value has been fully compensated to Dalia and the children.

These are covenant terms, not standard commercial clauses. They are included here so that the Partner understands the nature of the relationship being entered: this is not a financial instrument seeking maximum extraction. It is an arrangement designed to sustain a life and honour a covenant.

6. Joseph's Role as Consulting Architect

Joseph A. Sprute is available to the Partner as a strategic consultant and protocol architect. His availability is bounded by:

- His health and physical capacity (sports injuries sustained in youth create ongoing limitations)
- His personal resonance — the quality of engagement that allows him to produce work of the standard the ERES corpus requires
- His life design: Vacationomics. Rest, creativity, the Church of the Great Outdoors, time with Dalia. These are not luxuries. They are the conditions under which the architecture continues to develop.

What Joseph does NOT do:

- Operational management of the commercial vehicle
- Board membership (unless formally appointed by a body with the standing to appoint him)
- Client-facing sales, marketing, or business development
- Work that creates stress inconsistent with his health and resonance

What Joseph DOES provide:

- Strategic guidance on protocol architecture, governance design, and deployment sequencing
- Validation and synthesis through the MIEVM ensemble (Claude, Grok, DeepSeek, ChatGPT as parallel instruments)
- Ongoing development of the ERES corpus as instruments mature and new falsification tests are cleared
- Public attribution as Founder and originating architect of the deployed protocols

7. The Partner's Role

The Partner brings what ERES cannot generate independently:

- Institutional access — introductions to banks, cities, government agencies, and credentialing bodies capable of hosting a 90-day live pilot
- Deal network — connections to co-investors, strategic advisors, and accreditation bodies
- Credibility — the standing to open doors that a solo independent researcher in Bella Vista, Arkansas cannot open alone
- Capital — funding for the first live pilot and for GSSG Test 1 if the Partner elects to finance it

The Partner is compensated through the commercial upside of the deployment vehicle — equity, revenue share, or fee structures within that vehicle, structured as the Partner sees fit. The royalty to the ERES Fiduciary is senior to Partner distributions: it is paid first, from gross revenue, before any Partner return is calculated.

8. Conditions Precedent to Formal Agreement

The following must be in place before a formal license and royalty agreement is executed:

- EMA co-signature — Emanuel M. Alexiou (Chief Social Engineer, ERES Institute) must formally affirm his role as Kingmaker and co-signatory on the engagement. His affirmation is the governance mechanism that validates the covenant structure.
- GSSG Test 1 scope accepted — if the Partner elects to include GSSG in the commercial architecture, the Test 1 scope (ERES-GSSG-TEST1-2026-001) must be accepted and funded before GSSG panels enter any commercial conversation.
- CCAL v2.1 acceptance — the Partner must formally accept CARE Commons Attribution License v2.1 terms for all ERES-derived IP.
- Fiduciary instrument — the ERES Fiduciary must be constituted as a legal instrument (trust, foundation, or equivalent) before the first royalty payment is due.

What is NOT a condition precedent:

- A blessing from His Holiness the Dalai Lama. That is a covenant aspiration, not a commercial gate. It belongs to the 1000-Year Future Map, not to the 90-day pilot.
- EMA's public affirmation. His formal co-signature on the engagement is required; a public announcement is not.

9. Governing Principles

Three principles bind every deployment decision made under this license. They are not branding. They are the floor:

Principle	Operational Meaning
Don't hurt yourself.	No deployment that creates stress, legal exposure, or operational burden on Joseph or the Fiduciary beneficiaries. The royalty stream must be administratively simple.
Don't hurt others.	No deployment for mass surveillance, punitive civic remediation, or any application that uses EAAP to restrict rather than enable human freedom. The protocol is an integrity layer, not a control mechanism.
Build for generations to come.	Every deployment decision is evaluated against a 1000-Year Future Map. Short-term commercial gain that compromises the long-term architecture is not acceptable to the Licensor.

10. Next Steps

This term sheet is a basis for conversation, not a binding agreement. The immediate next step is a 30-minute call to establish whether the Partner sees a complementary fit. If so, the sequence is:

Step	Action	Who
1	30-minute introductory call — establish complementary fit and mutual intent	Joseph + Partner
2	Partner identifies one anchor institution for 90-day EAAP pilot (bank, city, or government agency)	Partner
3	EMA formally affirms co-signatory role	Joseph + EMA
4	GSSG Test 1 funded and initiated (if Partner elects to include GSSG)	Partner (funding) + independent lab
5	ERES Fiduciary constituted as legal instrument	Joseph + legal counsel
6	Formal license and royalty agreement executed	Joseph + EMA + Partner
7	90-day live EAAP pilot launched with anchor institution	Partner + anchor institution

Contact

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